

ECONOMY — National Income Accounting

Batch 2 of 10 · Sources: Parmar SSC Fatman 2nd Ed. 2026 (Economics Ch.3) + Lucent's GK 2026 (Ch.06 §1 Highlights + §5 National Income) · PYQ bucket "02 National Income" (20 Qs) · ★ = tested in a real past SSC paper

1 Concept, Founders & Circular Flow

National Income = total value of all goods/services produced by a country's residents in a year (macroeconomic concept). First proposed by **Dadabhai Naoroji**; **P.C. Mahalanobis** headed the National Income Committee (1949); **V.K.R.V. Rao** used a scientific approach and gave the two-sector economy classification.

HOOK Circular Flow of Income — Households $\rightleftharpoons$ Firms. Households provide land/labour/capital to firms, receive rent/wages/profit; firms sell goods/services back, receive expenditure. **Two-sector model** = Households+Firms; **Three-sector** adds Government; **Four-sector (open economy)** adds Foreign trade.

TRAP Injections (money entering: investment, govt spending, exports) vs **Leakages** (money exiting: savings, taxes, imports) ★. When households **save** part of their income instead of spending, that is a **leakage** from the circular flow ★ (reduces total demand; needs balancing via investment) — a PYQ tests exactly this in a two-sector economy.

2 Final vs Intermediate Goods; Stock vs Flow

Final Goods	Intermediate Goods ★
Used directly for consumption/investment; not processed further. E.g. shirt, TV, refrigerator bought by a household ★	Raw materials/inputs used to produce other goods — get transformed. E.g. copper used to make utensils ★

HOOK Why only **final goods** count in GDP ★: to avoid **double counting**, since intermediate-good value is already embedded in the final good's price. **Capital goods** (durable, e.g. machines) assist production without being transformed into the product itself — a PYQ pairs Statement I (intermediate goods = inputs) TRUE with Statement II (capital goods = durable, not transformed) also TRUE ★.

Stock	Flow
Point-in-time; e.g. wealth, loan, inventory, money supply	Over a period; e.g. income, expenditure, depreciation

3 Three Methods to Calculate National Income

Method	Formula
Value Added / Production / Output	Value Added = Output – Input, summed across all stages (GVA)
Income Method	Compensation to Employees + Operating Surplus (profit+rent+interest) + Mixed Income (self-employed, e.g. a doctor's own clinic)
Expenditure Method ★	$GDP = C + G + I + (X - M)$ ★

Every economy faces 3 fundamental problems from scarcity: **What to Produce, How to Produce, For Whom to Produce.**

4 Depreciation & the GVA/GDP/GNP/NDP/NNP Ladder

HOOK Depreciation ★ = wear-and-tear loss in value of fixed assets (machinery/equipment/buildings) during production; also called **Replacement Investment** ★ (investment needed just to maintain existing capital stock, equal to depreciation). **Net Investment = Gross Investment – Depreciation** ★ (e.g. ₹50 lakh machinery, ₹5 lakh depreciation → ₹45 lakh net investment ★).

GVA	→	GDP	→	GNP	→	NNP
sum of value added, all sectors		+ Net Taxes on Products		+ NFIA (Net Factor Income from Abroad)		– Depreciation
Aggregate	Definition / Formula					
GDP ★	Total value of all final goods/services produced <i>within a country's territory</i> in a financial year; only final goods counted (avoid double counting); developed by Simon Kuznets (1934)					

GNP ★	Total value of final goods/services produced by a country's residents , at home or abroad = GDP + NFIA ★ — "income earned by residents and non-residents within India" is the wrong framing (a tested distractor); GNP is about <i>residents</i> wherever located, not "within India" only
NDP	GDP – Depreciation
NNP ★	GNP – Depreciation ★ — the difference between GNP and NNP is depreciation ★ (a directly tested distractor against "taxes/interest/dividend")

TRAP **Factor Cost** ★ = payment to factors of production only (rent, wages, interest, profit) — **excludes** production/product taxes and does NOT subtract subsidy either; it reflects only the actual cost of production. $FC = MP - \text{Net Indirect Tax} = MP - (\text{Indirect Tax} - \text{Subsidy})$.

DOUBT GDP does not measure welfare/standard of living ★ — ignores income distribution, environmental damage (pollution), non-market activities, quality of life. A tested Assertion-Reason confirms both A (GDP doesn't tell the whole story) and R (ignores wear-and-tear/pollution/distribution) as TRUE ★.

5 India's GDP Sector Contribution

HOOK **Services sector** contributes most to India's GDP today (>54%) ★, though **Agriculture** provides the highest employment. In **1950-51**, Industry's GDP share was ~12-13%, Agriculture ~53-59%, Services ~27-30% ★ — India was agriculture-based at Independence.

6 Multiplier & Autonomous Investment

HOOK **Investment Multiplier** ★: a rise in autonomous investment causes a *multiplied* rise in national income, because $MPS < 1$ (people don't save their entire income, so extra spending recirculates) ★ — Multiplier = $1/(1-MPC) = 1/MPS$. An Assertion-Reason PYQ confirms both statements TRUE and R correctly explains A.

7 Real vs Nominal GDP, Per Capita & Personal Income

Real GDP	Nominal GDP
Constant prices, base year reference, inflation-adjusted	Current prices, includes inflation, always $\geq$ Real GDP

GDP Deflator = $(\text{Nominal GDP} / \text{Real GDP}) \times 100$ — also called **Implicit Price Deflator**.

Per Capita Income = National Income / Population. **Personal Income** = total individual income from all sources *before* taxes. **Personal Disposable Income (PDI)** ★ = Personal Income – Direct Taxes = money left with the **household** sector ★ after paying direct taxes/govt fees — this is what households can actually spend or save.

DOUBT GDP base year given as 2022-23 in Parmar vs Lucent's tables still using the 2011-12 base series — time-sensitive, carried forward from the raw extraction, not resolved. India's GDP world-rank figures (5th nominal/3rd PPP per Parmar vs 4th per Lucent's Forbes citation) are similarly time-sensitive and not independently verified — verify against current IMF/World Bank data before relying on either.

India's GDP/national-income data is calculated/issued by the **National Statistical Office (NSO)**, Ministry of Statistics and Programme Implementation (MoSPI) — the raw extraction notes Lucent's own text still names the since-merged CSO in one place.

Appendix

A.1 — PYQ citation index (bucket "02 National Income", 20 Qs)

Fact tested	Exam · Date · Shift
PDI = Personal Income – Direct Taxes, belongs to households	SSC CHSL Tier-I, 27/11/2025 (Shift-02)

Intermediate good example = copper for utensils (vs final goods)	SSC CHSL Tier-I, 25/11/2025 (Shift-02) [asked twice in this bucket]
Replacement investment = depreciation	SSC CHSL Tier-I, 18/11/2025 (Shift-03)
Depreciation deducted from GVA → NVA	SSC CHSL Tier-I, 18/11/2025 (Shift-01)
Intermediate vs Capital goods (statements)	SSC Phase XIII, 30/07/2025 (Shift-02)
Savings by households = leakage in circular flow	SSC Stenographer, 07/08/2025 (Shift-02)
GNP = income of residents + NFIA (asked twice)	SSC Stenographer, 08/08/2025 (Shift-02)
Services sector contributes most to India's GDP	SSC Stenographer, 07/08/2025 (Shift-03)
GDP = Gross Domestic Product (full form)	SSC Phase XIII, 29/07/2025 (Shift-01)
Personal income vs private/public income (statements)	SSC CHSL Tier-I, 22/11/2025 (Shift-02)
Sum of GVA of all firms = GDP	SSC CHSL Tier-I, 14/11/2025 (Shift-01)
Industry's GDP share in 1950-51 (~12-13%)	SSC CHSL Tier-I, 13/11/2025 (Shift-01)
GNP – NNP = Depreciation	SSC CPO Tier-I, 12/12/2025 (Shift-02)
GDP doesn't reflect welfare (A-R)	SSC CGL Tier-I, 21/09/2025 (Shift-03)
Autonomous investment multiplier (A-R, $MPS < 1$)	SSC CGL Tier-I, 21/09/2025 (Shift-01)
GDP excludes intermediate-goods value (double counting)	SSC CGL Tier-I, 22/09/2025 (Shift-01)
Net Investment = Gross Investment – Depreciation (₹50L–₹5L)	SSC Stenographer, 08/08/2025 (Shift-02)
Factor cost = payment to factors only, no taxes/subsidy	SSC CHSL Tier-I, 26/11/2025 (Shift-02)

Two questions in this bucket (Q19-Q20) duplicate Q2 and Q7's content verbatim — a repetition in the PYQ book itself, cross-referenced rather than re-cited.

A.2 — PYQ-book-only facts

None identified in this bucket — all 20 questions map to Parmar Ch.3 content already in the raw extraction.

A.3 — Doubts carried forward

GDP base-year (2022-23 vs 2011-12 series), CSO-vs-NSO attribution, and India's GDP world-rank figures — all flagged time-sensitive in the raw extraction, not resolved here.

A.4 — Deliberately condensed

Lucent's full FY2024-25 GDP/GVA/GNI quarterly-figures tables (\$1, \$5 — dozens of lakh-crore values across FE/FRE/SAE columns) are condensed to headline growth-rate facts only, since no PYQ in this bucket tests an exact rupee figure from those tables — they are dated FY24-25 releases that will be superseded well before any exam sitting.